SENATE BILL 1686
By Gardenhire

HOUSE BILL 1686

By Davis

AN ACT to amend Tennessee Code Annotated, Title 41, relative to performance-based contracting.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 41, Chapter 1, is amended by adding the following as a new part:

41-1-301. Part definitions.

As used in this part:

(1) "Commissioner" means the commissioner of correction;

(2) "Comptroller" means the comptroller of the treasury;

(3) "Contractor" means an entity, public or private, entering a contractual agreement with the commissioner to provide correctional services, as defined in § 41-24-102(2)(F), to inmates under the custody of the department;

(4) "Department" means the department of correction;

(5) "Division" means the division of state audit of the comptroller;

(6) "Evaluator" means an external evaluator with demonstrated and substantial experience and training in conducting rigorous impact evaluations of program effectiveness such as the use of either well-implemented randomized controlled trials or other evidence-based research methodologies that allow for strong causal inferences, including, but not limited to, difference-in-differences, instrumental variable, or regression discontinuity approaches;

(7) "Manual" means the operating manual of the program;

(8) "Program" means the performance-based contracting program established under this part; and

(9) "TOMIS" means the Tennessee offender management information system.

41-1-302. Performance-based contracting.

(a) The department shall develop and implement a program for each contractor with which it contracts to incentivize improved performance and outcomes from the contractor.

(b) Only a contractor holding the primary contract for the contracted services is subject to the program, and such contractor assumes all risk of losing the conditional funds. A subcontractor of the primary contractor must not be held at risk for the outcomes under the program and payment of conditional funds, and must not be held at risk for declining performance and subsequent consequences throughout the program.

(c) The department shall develop the program no later than six (6) months from the effective date of this act.

(d) The department shall include provisions requiring the contractor to adhere to the program in each contract entered into or renewed after the program is developed pursuant to subsection (c).

(e) The division shall conduct an audit of the program no less than quarterly to ensure that the department has implemented the program to fidelity.

(f) The comptroller shall deliver the findings of the audit described in subsection (e) to the general assembly and make the findings available to the public on the comptroller's website.

41-1-303. Program design.

(a) Notwithstanding §§ 41-24-103, 41-24-104, and 41-24-105, or another law to the contrary, pursuant to the program developed by the department, the department shall make the payment of an amount equal to twenty-five percent (25%) of the total funds appropriated to the contractor during a fiscal year conditional upon yearly performance improvements based upon a set of performance measures, including, but not limited to:

(1) The annual turnover rate for all staff;

(2) The annual turnover rate for healthcare staff;

(3) The percentage of offenders completing orientation upon entering a facility;

(4) The number of preventable offender deaths;

(5) The mortality rate for offenders by facility;

(6) The number of episodes of sexual violence;

(7) The implementation of evidence-based rehabilitation and reentry programming, including vocational and educational training;

(8) The percentage of offenders participating in evidence-based rehabilitation and reentry programming, including vocational and educational training;

(9) The percentage of offenders with an annual physical and behavioral health visit;

(10) The percentage of offenders with appropriate medications;

(11) The percentage of offenders with a valid state identification card upon release;

(12) The percentage of offenders with a behavioral healthcare visit within two (2) weeks of release;

(13) The percentage of offenders employed within three (3) months of release; and

(14) The three-year recidivism rate.

(b) The program must condition the release of the conditional funds to the contractor based on the contractor's measurable improvements for each performance measure relative to a baseline performance.

(c) The department shall remit the conditional funds to the general fund in proportion to allocated amounts outlined in subsection (g) if the contractor does not achieve its targeted improvements.

(d) In developing the program, the department shall:

(1) Incorporate nationally recognized performance measures within each selected performance domain; and

(2) Develop relevant performance measures that directly improve operations and outcomes in the instance where there are no nationally recognized performance measures.

(e) The department shall collect and maintain the data necessary to measure and monitor performance measures under the program and to enable an independent and rigorous evaluation of the program, including but not limited to:

(1) Staff employment records;

(2) Orientation records;

(3) Episodes of inmate deaths and sexual violence;

(4) Policies and procedures for evidence-based rehabilitation and reentry programming;

(5) Participation records for evidence-based rehabilitation and reentry programming;

(6) Health care records;

(7) Policies and procedures to obtain valid state identification cards;

(8) Community health care utilization, which may be self-reported by individuals released or from interagency data sharing agreements with community-based healthcare providers or peer executive agencies;

(9) Community employment verification, which may be self-reported from individuals released or from interagency data sharing agreements with employers or peer executive agencies;

(10) Public safety records; and

(11) Any other relevant data housed in TOMIS.

(f) The department may collaborate with the necessary departments, agencies, or community partners to obtain the necessary data to measure and monitor relevant performance outcomes under the program, as required in subsection (e).

(g)

(1) In the first two (2) years of the program, the department shall determine how to allocate the conditional funds based on performance across all measures, subject to the review and approval of the comptroller.

(2) Beginning in the third year of the program:

(A) The department shall allocate no less than fifty percent (50%) of the conditional funds based upon improved recidivism;

(B) The department shall allocate no less than fifteen percent (15%) of the conditional funds based upon measures pertaining to improved inmate safety; and

(C) The department shall allocate the remaining thirty-five percent (35%) of the conditional funds based upon the remaining measures.

(h) The department shall update the program and its performance measures as necessary and in collaboration with the comptroller; provided, however, the domains of recidivism and inmate safety must remain in the program regardless of its iteration.

(i) The department may implement the phase-in period outlined in subdivision (g)(1) if a new contractor assumes the full responsibility for the respective contracted services during the middle of or at the beginning of a procurement cycle.

(j) The department may cancel the respective contract following three (3) years, successive or intermittent, of declining performance outcomes on recidivism or inmate safety under the program.

41-1-304. Program manual.

(a) The commissioner shall develop and provide the manual to the comptroller no later than six (6) months from the effective date of this act.

(b) The commissioner shall submit updates to the manual to the comptroller no later than one (1) month after finalizing the updates.

(c) The commissioner shall publish on the department's website the manual and any subsequent updates no later than one (1) month after finalizing the most current version of the manual.

41-1-305. Program accountability.

(a) The commissioner shall report to the comptroller and the fiscal review committee on the overall progress and outcomes of the program no less than quarterly.

(b) The report must include quantitative data on performance measures and qualitative data on the operational adjustments made to improve performance.

(c) The department shall publish data on programmatic measures no less than quarterly on the department's website.

(d) The department shall publish progress reports and any external evaluations of the program no less than once annually on the department's website.

41-1-306. Program evaluation.

(a) The department shall use an evaluator to independently evaluate the progress and outcomes of the program.

(b) The evaluation required under subsection (a) must, to the extent feasible and appropriate, make use of experimental or quasi-experimental designs that allow for the strongest possible causal inferences with respect to program outcomes.

(c) The evaluator shall have access to all data necessary to conduct a rigorous and independent evaluation of the program.

(d) The evaluator shall submit a report to the department, comptroller, and chair of the fiscal review committee summarizing the results of the evaluation no later than three (3) years following the implementation of the program.

(e) The department shall publish the evaluation report available on the department's website.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.